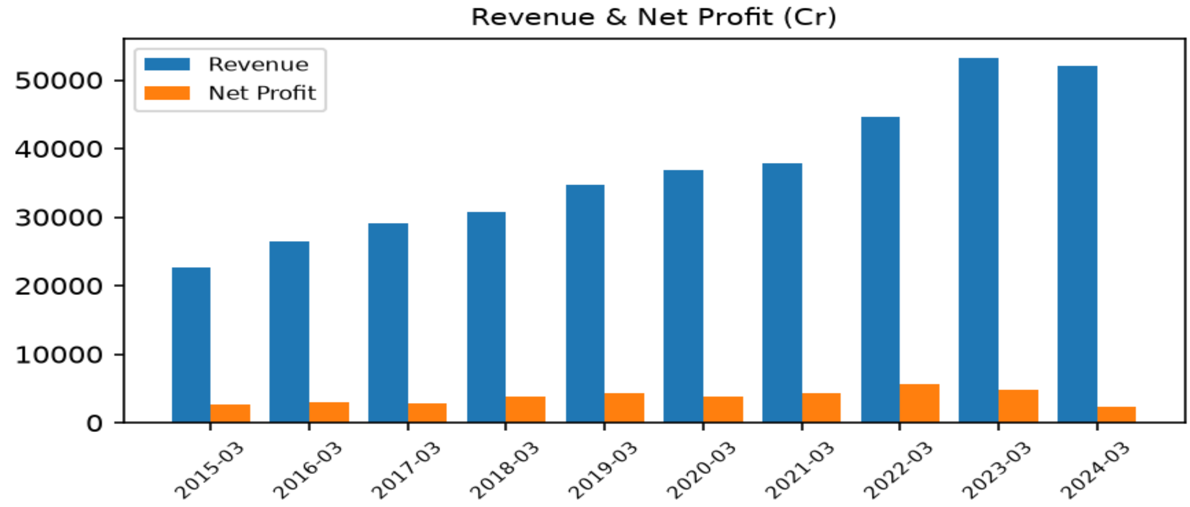
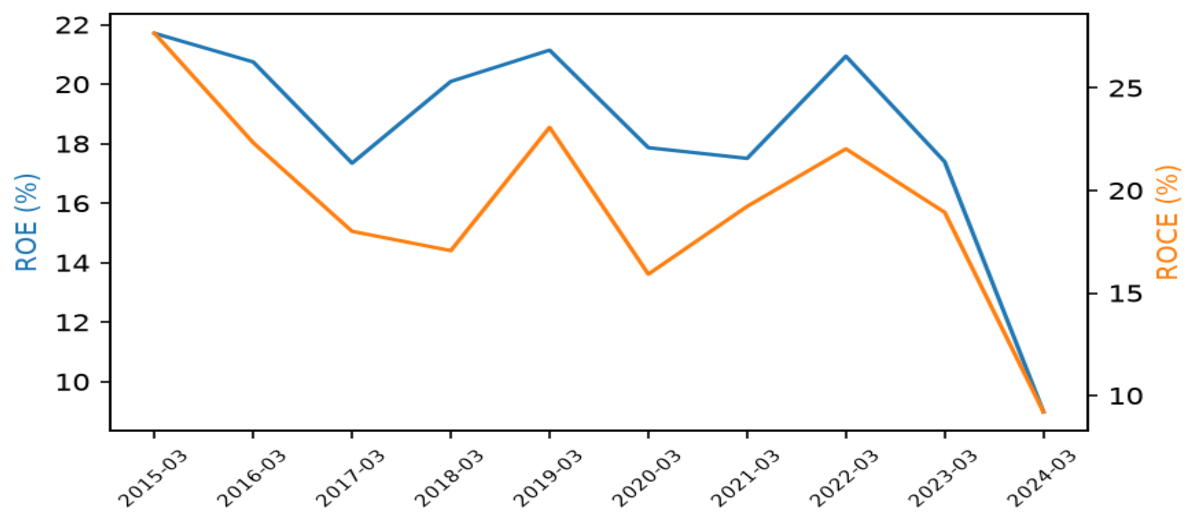
Tech Mahindra Ltd (TECHM)

ROE 9.0%	**ROCE** 9.2%	**Net Profit Margin** 4.6%
D/E 0.1	**Revenue CAGR 5yr** 8.4%	**Free Cash Flow (Cr)** 5058.0

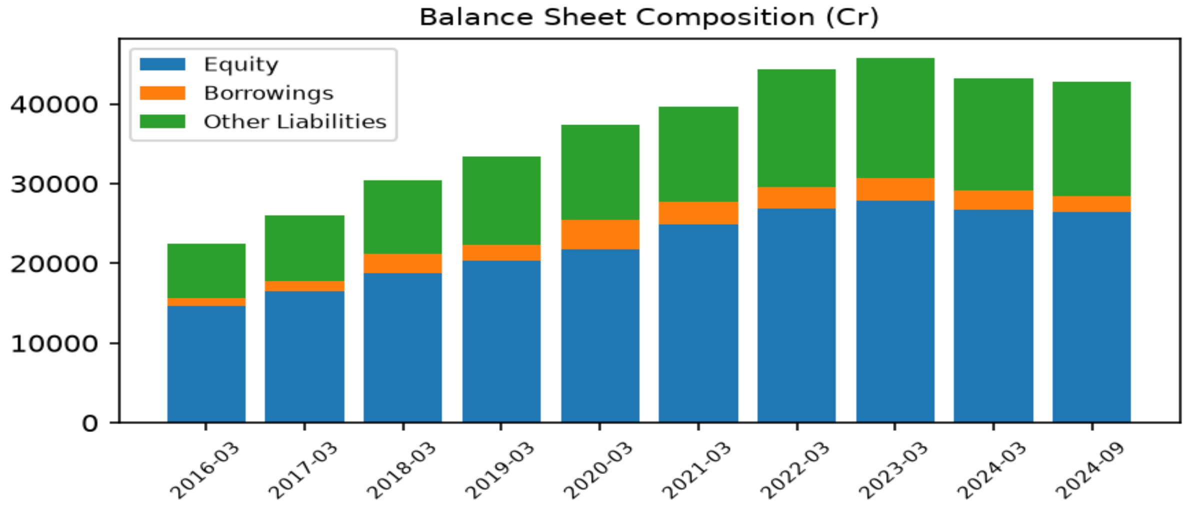
Revenue & Net Profit (10yr)



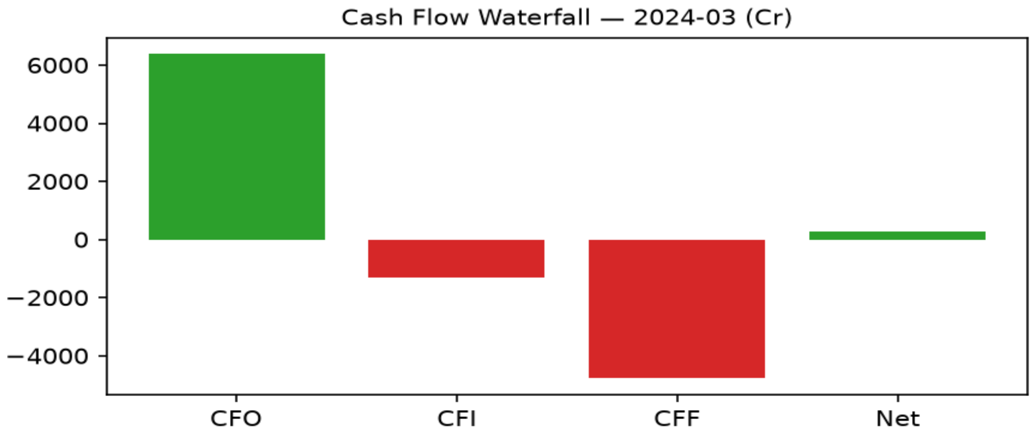
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
✗ Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Shareholder Returns